

Higher than €2 million: 1 in 127,000

Higher than €3 million: 1 in 14,000,000,000

Higher than €4 million: 1 in 886,000,000,000,000,000

Higher than €8 million: 1 in 16,000,000,000,000,000,000,000,000,000,000,000,000,000,000

Higher than €16 million: 1 in ... *none of my computers is capable of handling the computation.*

What I want to show with these lists is the qualitative difference in the paradigms. As I have said, the second paradigm is scalable; it has no headwind. Note that another term for the scalable is power laws.

Just knowing that we are in a power-law environment does not tell us much. Why? Because we have to measure the coefficients in real life, which is much harder than with a Gaussian framework. Only the Gaussian yields its properties rather rapidly. The method I propose is a general way of viewing the world rather than a precise solution.

What to Remember

Remember this: the Gaussian–bell curve variations face a headwind that makes probabilities drop at a faster and faster rate as you move away from the mean, while “scalables,” or Mandelbrotian variations, do not have such a restriction. That’s pretty much most of what you need to know.*

Inequality

Let us look more closely at the nature of inequality. In the Gaussian framework, inequality decreases as the deviations get larger—caused by the increase in the rate of decrease. Not so with the scalable: inequality stays the same throughout. The inequality among the superrich is the same as the inequality among the simply rich—it does not slow down.†

Consider this effect. Take a random sample of any two people from the U.S. population who jointly earn \$1 million per annum. What is the most likely breakdown of their respective incomes? In Mediocristan, the most likely combination is half a million each. In Extremistan, it would be \$50,000 and \$950,000.

The situation is even more lopsided with book sales. If I told you that two authors sold a total of a million copies of their books, the most likely